



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2025-26
PRE BOARD EXAMINATION

CLASS: X
SUBJECT: ECONOMIC APPLICATIONS (SET-A)

FULL MARKS: 100
TIME: 2 HOURS

Answers to this Paper must be written on the paper provided separately.

You will not be allowed to write during the first 15 minutes.

This time is to be spent in reading the Question Paper.

The time given at the head of this Paper is the time allowed for writing the answers.

Attempt all questions from Section A and any four questions from Section B.

The intended marks for questions or parts of questions are given in brackets [].

*This question paper consists of **six** printed pages.*

SECTION A (40 Marks)

(Attempt all questions from this Section)

Question 1

[20]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- (i) Assertion (A): An increase in consumer income shifts the demand curve to the right.
Reasoning (R): With greater income, consumers can afford to buy more at every price.
- A is true but R is false
 - A is false but R is true
 - Both A & R are true and R explains A
 - Both A & R are true but R does not explain A
- (ii) If a firm's supply does not change at all when prices increase, supply is:
- Elastic
 - Perfectly inelastic
 - Inelastic
 - Unitary elastic
- (iii) Which factor of production is most closely related to risk-taking and innovation?
- Land
 - Capital
 - Labour
 - Entrepreneur
- (iv) Which of the following is NOT amenable to human control and is not a land?
- Forest
 - Crude oil in pipelines
 - Gold mine
 - Rain water
- (v) A company makes shoes in India, designs them in Italy, and sells globally. This illustrates:
- Occupational division of labour
 - International division of labour
 - Vertical division of labour
 - Process division of labour
- (vi) Why is land called a passive factor of production?
- Land increases with investment
 - Land has unlimited supply
 - Land does not initiate production
 - Land earns rent by itself

(vii)



A government campaign to promote cycling will most likely cause:

- a. Contraction in demand for cycles
- b. Extension along the demand curve for cycles
- c. Increase in demand for cycles
- d. No effect in demand for cycles

(viii)

Match the following

	Column I		Column II
(A)	Cash credit Account	(i)	Interest charged on entire loan amount sanctioned; full sum withdrawn at once and repaid with interest
(B)	Fixed Deposit Account	(ii)	Deposit made at regular interval
(C)	Outright Loan Account	(iii)	Interest charged on amount actually utilized; withdrawals allowed up to a sanctioned limit against stock or receivables
(D)	Recurring Deposit Account	(iv)	Highest rate of interest

- a. A–(iii), B–(iv), C–(i), D–(ii)
- b. A–(ii), B–(iv), C–(iii), D–(i)
- c. A–(iv), B–(i), C–(ii), D–(iii)
- d. A–(i), B–(iii), C–(iv), D–(ii)

(ix)

Which type of good reduces demand when consumer's income increases?

- a. Inferior good
- b. Normal good
- c. Necessary good
- d. Luxury good

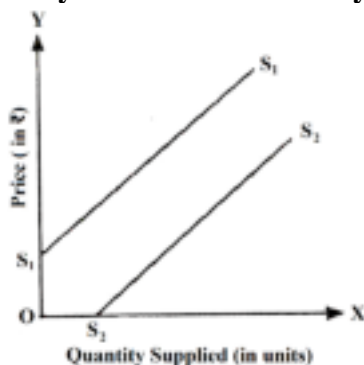
(x)

A supply curve shifting rightwards is caused by:

- a. Increase in production costs
- b. Technological improvement
- c. Fall in the number of producers
- d. Imposition of tax on producers

(xi)

Identify the value of elasticity of supply for the supply curve S_1S_1 and S_2S_2



- a. $S_1S_1 > 1$, $S_2S_2 < 1$
- b. $S_1S_1 < 1$, $S_2S_2 > 1$
- c. $S_1S_1 = 1$, $S_2S_2 > 1$
- d. $S_1S_1 > 1$, $S_2S_2 = 1$

- (xii) Advertising expenses aimed at increasing sales are called:
- Production costs
 - Selling costs
 - Administrative costs
 - Fixed costs
- (xiii) Identify the correct sequence of alternatives given in Column II by matching them with respective items in Column I
- | | Column I | | Column II |
|-----|---------------------|-------|------------------------------|
| (A) | Creeping Inflation | (i) | More than 20% per annum |
| (B) | Walking Inflation | (ii) | Around 3% or less per annum |
| (C) | Running Inflation | (iii) | Between 3% to 10% per annum |
| (D) | Galloping Inflation | (iv) | Between 10% to 20% per annum |
- (A)–(ii), (B)–(iii), (C)–(iv), (D)–(i)
 - (A)–(iii), (B)–(ii), (C)–(i), (D)–(iv)
 - (A)–(iv), (B)–(iii), (C)–(ii), (D)–(i)
 - (A)–(ii), (B)–(iv), (C)–(iii), (D)–(i)
- (xiv) Assertion (A): Land is heterogeneous.
Reasoning (R): Soil fertility and location differ across various plots of land.
- A is true but R is false
 - A is false but R is true
 - Both A & R are true and R explains A
 - Both A & R are true but R does not explain A
- (xv) Price rises by 20% and quantity supplied rises by 10%. Price elasticity of supply is:
- 0.5
 - 2.0
 - 0.5
 - 1.1
- (xvi) In a monopsony market, one finds:
- Many buyers, one seller
 - One buyer, many sellers
 - Many buyers & sellers
 - No price influence by buyer
- (xvii) Observe the relationship of the first pair of words and complete the second pair.
During inflation, the fixed income group suffers and _____ benefit.
- Lenders
 - Borrowers
 - Daily wage workers
 - Retirees
- (xviii) Assertion (A): Perfect competition has the characteristic of perfect knowledge.
Reasoning (R): Perfect knowledge eliminates possibility of inadequate information.
- A is true but R is false
 - A is false but R is true
 - Both A & R are true and R explains A
 - Both A & R are true but R does not explain A
- (xix) Which fiscal policy is used by the government to control inflation?
- Cut taxes broadly
 - Increase public spending drastically
 - Reduce public expenditure
 - Increase money supply
- (xx) Buying a phone with a credit card highlights which function of money?
- Standard of deferred payment
 - Measure of value
 - Transfer of value
 - Medium of exchange

Question 2

- (i) Calculate elasticity of demand [2]

Price (₹)	Quantity (kg)
1200	200
1000	300

Is the demand elastic or inelastic?

- (ii) Rahul visits a car manufacturing unit during his school field trip. He notices that instead of one worker making an entire car, each worker is doing a specific task—like assembling doors, fixing the engine, painting, or checking quality. He wonders why this system is used instead of assigning one car to one person. Identify and define this type of division of labour used in this situation. Explain any one benefit of division of labour in such an industry? [2]

- (iii) Ravi decides to start a small textile factory. He invests money to buy machines, raw materials, and hires a few workers. He also deposits a large sum in the bank for future expansion. His friend asks what all these investments are called in Economics. Identify the different types of capital Ravi has used. Explain any one of them. [2]

- (iv) Arjun noticed that people in his city struggled to find affordable, healthy tiffin services. He decided to start a home-cooked meal delivery business. He arranged capital, hired staff, managed purchases, and took responsibility for profits and losses. His business became a success. Discuss any two key functions Arjun performs as a part of this role, as mentioned above. [2]

- (v) The following table shows that there are three firms A, B and C in a market. [2]

Price (₹)	Firm A (units)	Firm B (units)	Firm C (units)	Market Supply (units)
12	2	10	(i)	20
24	8	(ii)	12	40
36	(iii)	18	15	60
48	30	25	20	(iv)

Based on the above hypothetical schedule answer the following questions.

- What is the supply of Firm C priced at ₹12 (i) ?
- What is the supply of Firm B priced at ₹24 (ii) ?
- What is the supply of Firm A priced at ₹36 (iii) ?
- Calculate the total market supply priced at ₹48 (iv).

Question 3

- (i) Sita earns ₹10,000 per month and saves ₹2,000 every month. She keeps the money in a savings account and plans to use it. Which function of money is Sita using in this case? Discuss. [2]
- (ii) What is the shape of demand curve faced by a perfectly competitive firm? Support your answer with a diagram. [2]
- (iii) A farmer has a small plot of land for cultivation. Despite his efforts to increase production, he cannot increase the amount of land. Explain the characteristic of land that this situation illustrates. [2]

- (iv) If the suppliers of sugar expect a fall in the price of sugar in the future, how does the current supply of sugar change? Explain. [2]
- (v) "Building large dams through forest areas can have negative impacts on the ecosystem." Is this statement true or false? Justify giving reasons. [2]

SECTION B (60 Marks)

(Answer any four questions from this Section)

Question 4

(i)



[7]

Identify and define the active factor of production shown in the image.
Explain three differences between that factor and land.

- (ii) a. Define a public sector enterprise and give one example. [8]
b. Explain how hiring private talent in public enterprises can:
1. Reduce budgetary deficit
2. Create of a competitive environment
3. Improve flexibility

Question 5

- (i) Riya, an entrepreneur, manufactures eco-friendly stationery products. She studies market prices to decide how much to produce and at what cost. After receiving her income, she plans her monthly expenses & savings accordingly. Later, she donates a part of her income to a charity that supports education for underprivileged children. [7]
a. Identify and explain any two contingent functions of money mention above.
b. How does money help Riya in making production decision?
c. Explain briefly how money assists in the distribution of national income.

- (ii) "The elasticity of supply depends on a number of factors." Explain. [8]

Question 6

- (i) Define production. Distinguish between marginal and average productivity of land. Explain any two characteristics of capital. [7]
- (ii) Discuss any four roles played by the entrepreneurs in economic development of a country. [8]

Question 7

- (i) What is Capital Formation? Explain any three factors that determine the rate of capital formation in an economy. [7]

(ii)



[8]

- a. Identify and define the type of market referred to.
b. Explain any three features of the market mentioned above.

Question 8

- (i) In the city of Pune, the price of onions rose sharply from ₹25 per kg to ₹70 per kg due to crop damage. As a result, households reduce its consumption. [7]
- State the law is illustrated in this case.
 - What is the effect of prices of related goods for consumption for a commodity?
 - Explain any one exception to this law.

(ii)



- A commercial bank faced a liquidity crisis and was unable to meet withdrawal demands from its customers. The RBI intervened, providing emergency funds to the bank to maintain stability and protect depositors. The central bank also monitored other banks to avoid a larger crisis. [8]
- What role did the RBI perform in this situation?
 - Why RBI has the monopoly of note issue?
 - How does the RBI act as a banker to commercial banks?
 - Explain any two differences between a Central Bank and Commercial Banks.

Question 9

(i)



Read the extract given below and answer the questions: [7]

The government of a country, has introduced a new taxation system to ensure fairness and adequate revenue collection. The following information shows how different income earners are taxed:

Average Income (₹)	Tax Rate (%)	Tax Paid (₹)
1,00,000	2	2,000
5,00,000	8	40,000
15,00,000	13.33	2,00,000

Meanwhile, the government also imposes an indirect tax of ₹10 on each litre of petrol, which every citizen has to pay regardless of income.

Source: Hypothetical case study created for educational purposes.

- Based on the table above, identify which type of tax is being used this case. Give reasons.
 - What kind of tax is the petrol tax?
 - Suppose the government introduces a tax system where tax rates increases up to a point and then become constant. Identify the type of taxation represented by this system. Illustrate your answer with a suitable diagram.
 - Explain one advantage and one disadvantage of income tax in a developing country like India.
- (ii) Describe any four causes of low efficiency of labour in India. [8]